

Insurance Sector Report

"The oak fought the wind and was broken, the willow bent when it must and survived." - Robert Jordan

We issue a **BUY** recommendation on most counters in the insurance sector with an **upside potential** of 76.9% on the current p/b multiple of 0.68x against a 5-year historical average of 1.21x.

- **Glum at the bourse.** Prices have come off following the continuous bear run at the bourse that has been brought about by persistent foreign investor exits following uncertainty due to the COVID-19 pandemic.
- **Subdued bottom-line.** We anticipate that prices may remain suppressed with the announcement of profit warnings by various counters and the expectations of lower earnings in FY20 premised on lower premiums, rising policy cancellations and non-renewal of policies after lapses. In addition, lower stock market prices and declining yields are further expected to compress investment income weighing in on the bottom-line in FY20. We however anticipate an improvement of stock market prices in FY21 earnings pegged on improved investor sentiments as the economy recovers.
- **Foreign investor exits**. Following the foreseen economic recovery as access to COVID-19 vaccines worldwide continues to expand improving investor confidence, we anticipate the resurgence of foreign investors activity at the bourse who mostly constitute over 70% of trading activity in the market. Their return is further anticipated to be boosted by the recent upgrade on the Morgan Stanley Capital International (MSCI) emerging markets index giving Kenya increased allocation to 9.49% from 8.2% after the exit of Kuwait which will make the NSE the 4th most important frontier market in the global listing after Vietnam (28.76%), Romania (12.47%) and Morocco (10.26%). This is expected to boost foreign investor inflows at the local bourse. The MSCI, the world's largest market index provider, in November 2020 started phased reclassification of the Kuwait stock market.

Table 1: Trading Multiples

Counter	5-year average P/B	Current P/B	5-year average P/E	Current P/E	Current Price (KES)	Target Price (KES)	Upside
Britam	1.13	0.74	13.13	5.26	7.42	10.85	46.2%
Jubilee	1.32	0.74	9.06	5.91	290.00	394.85	36.1%
Liberty	1.09	0.64	11.02	5.65	7.40	13.41	81.3%
Kenya Re	0.48	0.21	3.59	4.30	2.41	3.28	35.9%
Sanlam	1.71	1.00	49.39	15.19	12.00	13.09	9.1%
CIC	1.52	0.75	27.86	18.00	2.16	3.83	77.1%
Average	**1.21**	**0.68**	**19.01**	**9.05**			**76.9%**

Source: AIB-AXYS Research

21st January 2021

Britam Holdings

Target Price: **KES 10.85**

Upside: **46.2%**

Jubilee Holdings

Target Price: **KES 394.85**

Upside: **36.1%**

Kenya Re

Target Price: **KES 3.28**

Upside: **35.9%**

CIC Insurance

Targe Price: **KES 3.83**

Upside: **77.1%**

Liberty Holdings

Target Price: **KES 13.41**

Upside: **81.3%**

Sanlam Insurance

Target Price: **KES 13.09**

Upside: **9.1%**

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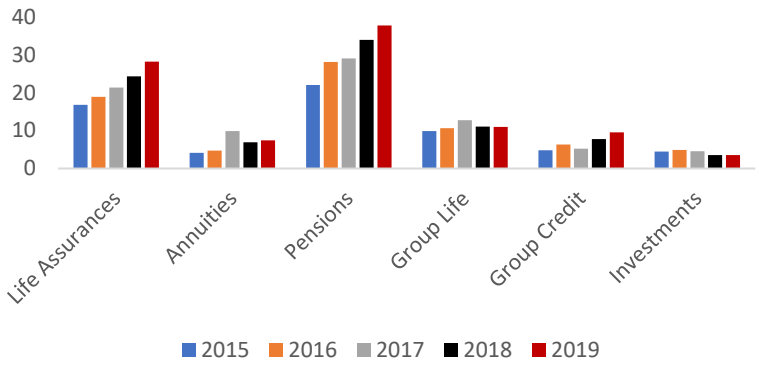
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Long Term Insurance Business

The long-term insurance business has been on an upward trajectory with steady premium growth over the years, with most classes of premium income registering growth except for the investments category which saw a downturn in the last years mainly attributed to suppressed prices at the bourse since the inception of the rate cap and a flattening yield curve.

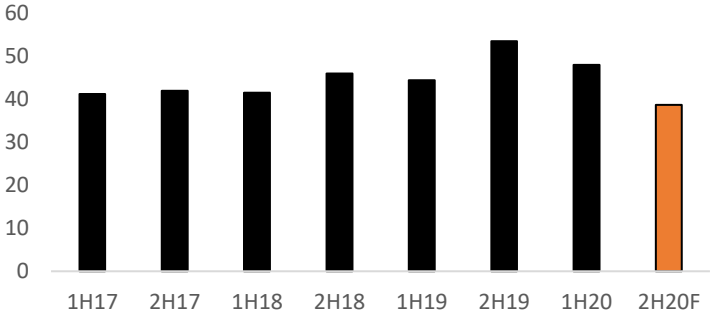
Graph 1: Long Term Insurance Premium Income Per Class



Source: AIB-AXYS, IRA

1H20 saw premium growth remain resilient rising 8.2% y/y to KES 47.9B. However, due to the COVID-19 restriction measures that saw most businesses remain closed and cessation of movement effected, 2Q20 saw long term insurance business decline 25.6% q/q to KES 19.3B. Premised on this, we forecast a 11.1% y/y decline in total premium income for long term insurance business in FY20 to KES 86.5B due to the prevalence of the pandemic that saw a general slowdown in business with lower income expected to see a contraction in insurance premiums. In FY21, we anticipate a slowdown in the pension category due to job cuts and lower savings by households. We expect that given the expected lower earnings in FY20; insurers may continue to undercut on loss making products in group life. With anticipated recovery in the capital markets, we may also see an improvement in the investment class with the expected recovery of stock prices.

Graph 2: Life Insurance Premium Income

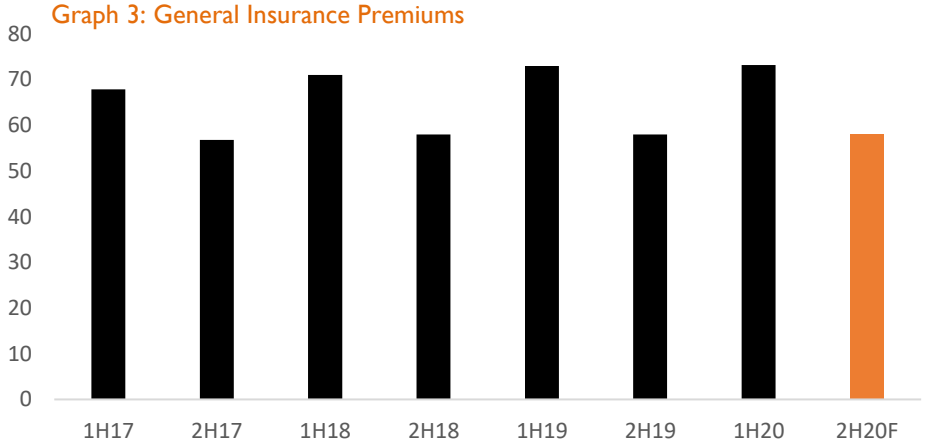


Source: AIB-AXYS Research, IRA

General Insurance Business

We forecast a 11.4% y/y decline in general insurance premium income in FY20 premised on lower incomes necessitating the cutting on insurance costs. In 2Q20, general insurance premiums declined 47.1% q/q due to COVID-19 containment measures and the cessation of movement which a decline in use of motor vehicles and job cuts saw less uptake of medical insurance leading to an overall decline in insurance premiums. We expect to see steady premium growth in FY21 on the back of continued economic recovery. Growth may however be curtailed by continued cases of fraud and high competition.

Graph 3: General Insurance Premiums



Source: AIB-AXYS Research, IRA

In FY19, most insurers recorded underwriting losses with Britam Holdings and Jubilee Holdings recording the highest losses at KES 1.2B and 964.3M respectively mainly driven by losses in motor insurance. Jubilee Holdings, CIC Insurance recorded underwriting profits of KES 512.6M and 117.4M respectively in medical insurance.

In 1H20, the general insurance business reported an underwriting profit of KES 62.5M compared to an underwriting loss of KES 1.3B in 1H20 perhaps signaling a reversal in the loss-making trend of the business (FY19 underwriting loss of KES 3.0B, +80% y/y). Underwriting profits are anticipated to sustain in FY20 due to a reduction in claims in motor insurance due to the cessation of movement that also saw people shy away from hospitals reducing medical claims.

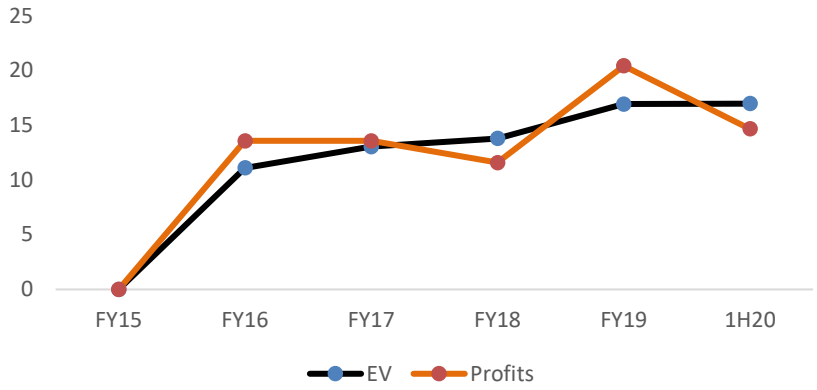
Britam Holdings

We maintain our **BUY** recommendation on Britam Holdings at a target price of KES 10.85 with a potential upside of 46.2% on the current price of KES 7.42. We opine that the counter stands out as a long term buy given its business structure with its heavy investment in long term insurance business (70% of total assets in FY19) spanning 8 - 10 years.

➢ Positive Embedded Value Despite Unstable Earnings

Despite unstable group earnings, the insurer has recorded steady growth in its Embedded Value (EV) in the life insurance business. In 1H20, the life insurance business had a positive annualized EV of 9% despite depressed earnings from equities due to a downturn in stock prices. We forecast an increase in the EV in FY21 premised on continuous recovery of the economy seeing an increase in life insurance business and an uptick in stock market prices improving bottom line performance by the segment.

Graph 3: Life Insurance EV vs Group Profitability



Source: AIB-AXYS Research

➢ Paper Loss on investment holdings to weigh down on the bottom-line

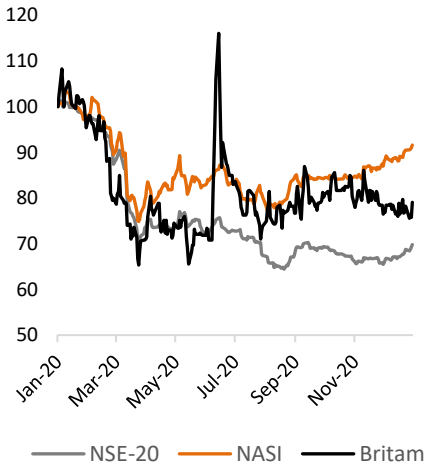
We project a net loss of KES 1.8B in FY20 premised on paper loss on investment holdings as prices remained low at the NSE with the insurer highly exposed in the equity and property markets. Exposure in the mortgage lender HF Group which is currently grappling with the continued downturn in the property market and risings NPLs may see Britam continue to book significant paper loss in the short to medium term. Lower occupancy rates and declining rental yields may see further impairment leading to property revaluation losses. The insurer is however hoping to turn the tale around with its Kilimani serviced apartment project through its upcoming partnership with a leading Singaporian brand. Serviced apartments have gained popularity with the onset of the pandemic encouraging social distancing and the growing popularity of digital apps such as Airbnb encouraging apartments as opposed to hotels.

➢ Growth in micro insurance pegged on economic recovery

With the gradual reopening of the economy across Eastern Africa, we anticipate that the rejuvenation of business activities which will see an improvement in household income. This, coupled with an anticipation of the resumption of workers into their jobs is expected to create an avenue for growth in micro insurance (11% growth in 2019)

BRIT	
Target Price:	**KES 10.85**
Upside:	**46.2%**
Current Price:	**KES 7.42**
52 Week Low:	**KES 5.70**
52 Week High:	**KES 10.50**
FY19 EPS:	**KES 1.41**
ROaE:	**13.28%**
ROaA:	**3.10%**
Dividend Yield:	**N/A**

Britam vs Indices



Source: AIB-AXYS Research

Table 2: Financial Statements (Britam)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		20,291,844	23,298,311	24,325,111	27,131,870	29,573,738	33,468,262	38,447,620	43,213,066
	% change		15%	4%	12%	9%	13%	15%	12%
Net Premiums		17,393,585	20,298,120	21,061,660	23,109,892	25,285,297	28,615,082	32,872,391	36,946,807
	% change		17%	4%	10%	9%	13%	15%	12%
Investment Income		2,811,966	6,777,924	4,670,838	12,800,946	2,560,189	3,768,099	5,545,906	8,162,491
	% change		141%	-31%	174%	-80%	47%	47%	47%
Total Income		22,360,214	27,836,674	26,393,611	36,446,252	29,614,455	34,236,765	40,455,371	47,285,366
	% change		24%	-5%	38%	-19%	16%	18%	17%
Net Benefits and Claims		5,001,165	12,498,761	14,247,140	15,442,505	16,448,097	17,344,607	19,925,112	22,394,759
	% change		150%	14%	8%	7%	5%	15%	12%
Total Expenses		18,563,362	27,023,837	28,399,825	31,822,130	31,673,008	33,029,479	37,943,555	42,646,525
	% change		46%	5%	12%	0%	4%	15%	12%
PBT		4,239,133	865,843	(2,295,870)	4,571,023	(2,111,652)	1,154,187	2,458,717	4,585,742
	% change		-80%	-365%	-299%	-146%	-155%	113%	87%
PAT		2,480,204	527,474	(2,210,285)	3,542,625	(1,783,878)	807,931	1,721,102	2,751,445
	% change		-79%	-519%	-260%	-150%	-145%	113%	60%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Shareholders Funds		17,810,373	22,592,744	23,859,234	29,295,548	28,367,304	30,073,652	31,981,045	34,965,948
	% change		27%	6%	23%	-3%	6%	6%	9%
Total Equity		17,877,596	22,670,010	23,956,170	29,376,826	28,448,582	30,154,930	32,062,323	35,047,226
	% change		27%	6%	23%	-3%	6%	6%	9%
Total Assets		83,642,610	99,024,858	103,656,334	125,243,566	147,694,799	178,106,348	213,907,101	256,616,077
	% change		18%	5%	21%	18%	21%	20%	20%
Total Liabilities		65,765,016	76,354,849	79,700,164	95,866,742	109,440,035	122,288,847	138,851,136	154,731,385
	% change		16%	4%	20%	14%	12%	14%	11%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	5,017,387	7,941,982	4,831,009	8,978,752	8,159,554	9,682,707	10,566,711	13,041,738
Net Cash From Investing Activities	(4,470,511)	(5,871,067)	(5,384,402)	(7,520,883)	(5,833,796)	(5,632,774)	(7,004,581)	(7,887,474)
Net Cash From Financing Activities	652,888	385,223	(1,148,361)	(603,959)	(973,854)	(769,908)	(2,526,954)	(2,526,954)
Cash and Cash Equivalents at End Year	8,040,951	8,423,155	6,721,401	7,575,311	8,927,215	12,207,240	13,242,415	15,869,726

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	85.7%	87.1%	86.6%	85.2%	85.5%	85.5%	85.5%	85.5%
Cost to Income Ratio	55.4%	47.9%	50.2%	44.3%	50.5%	45.0%	43.7%	42.0%
Loss Ratio	28.8%	61.6%	67.6%	66.8%	65.1%	60.6%	60.6%	60.6%
Expense Ratio	67.1%	62.0%	58.8%	65.5%	55.1%	50.0%	50.4%	50.7%
Combined Ratio	95.8%	123.6%	126.5%	132.4%	120.2%	110.7%	111.0%	111.3%

Source: AIB-AXYS Research

Table 3: Valuation (Britam Holdings)

Variable		Assumed					
Rfr (10-yr T-bond)		12.280%					
Equity Risk Premium		4.5%					
Adjusted Beta		0.9					
Cost of Equity (Based on CAPM)		16.2%					
Cost of Debt		12.0%					
Equity/Debt Ratio		70.0%					
Terminal Growth		6.0%					
Tax Rate		25.0%					
WACC		14.0%					
1.0 BRITAM Summary	2018	2019	2020	2021	2022	2023	
Beginning BVPS			11.61	10.74	10.89	11.39	
EPS			(0.71)	0.32	0.68	1.09	
DPS			0.16	0.17	0.18	0.20	
Changes in Retained Earnings			(0.87)	0.15	0.50	0.89	
Ending BVPS		**11.61**	**10.74**	**10.89**	**11.39**	**12.28**	
2.0 Excess Equity Return							
EPS			(0.71)	0.32	0.68	1.09	
BVPS			0.01	0.01	0.01	0.01	
Equity Charge			(0.11)	0.05	0.11	0.18	
Excess Equity Return			(0.58)	0.28	0.58	0.92	
Time (t)			(0.05)	0.94	1.92	2.91	
Discounting Factor			0.91	0.87	0.75	0.65	
PV or Residual Income		**-**	**(0.53)**	**0.24**	**0.44**	**0.60**	
Present BVPS (BV0)	**9.96**						
PV of Residual Income	**0.74**						
Estimated Fair Value	**10.70**						
3.0 Relative Valuation							
3.1 P/E							
Median P/E	10.55						
FY 2019 EPS	1.41						
Estimated Fair Value	**14.88**						
3.2 P/B							
Median P/B	0.70						
BVPS 2019	9.96						
Estimated Fair Value	**6.97**						
4.0 Valuation							
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**				
Excess Return on Equity	10.70	33.33%	3.57				
Relative Valuation (P/E)	14.88	33.33%	4.96				
Relative Valuation (P/B)	6.97	33.33%	2.32				
Target Price			**10.85**				
5.0 Recommendation							
Current Share Price	7.42						
Upside/(Downside)	46.2%						
Recommendation	**BUY**						

Source: AIB-AXYS Research

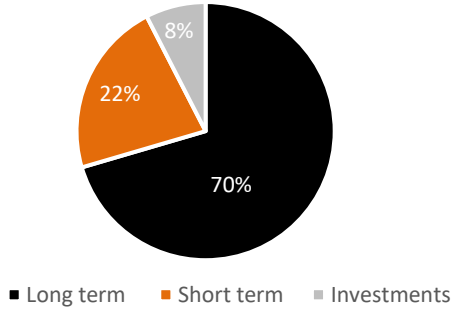
Jubilee Holdings

We maintain our **BUY** recommendation on Jubilee Holdings but downgrade our earlier target price of KES 450.49 to KES 394.56 representing an upside of 36.1% on the current price of KES 290.00.

➢ Stable earnings despite effects of the pandemic

We project a 15.4% drop in net earnings to KES 3.4B in FY20 with earnings supported by flat growth in gross premiums (+3.4% y/y) and flat growth in expenses (+0.1% y/y). With its competitors hard hit by the bear run at the bourse, Jubilee is expected to be among the least hit insurers given its low exposure to stocks minimizing paper value losses. Low occupancy rates and suppressed rental yields in its property investments are also anticipated to see the bottom line subdued.

Graph 4: Business Segments



Source: AIB-AXYS Research

➢ Strategic Partnership with Allianz SE

The insurer has signed a partnership agreement with German insurer and the largest general insurer in the world, Allianz SE that will cover the property and casualty insurance segments. Allianz will hold a majority stake of between 51% - 66% while JHL will retain a significant minority stake while retaining ownership of the Life and Pensions operations and its Medical Insurance business. As at 1H20, general insurance business represented about 12.3% of Jubilee's net assets (KES 4.0B) while profitability stood at KES 368.1M (9.1% of total profitability) in FY19. Sale of the 66% stake to Allianz translates to the balance sheet shedding KES 2.6B in net assets.

Jubilee plans on using KES 7.7B from the cash transaction to expand its life and medical business. The insurer sustained profitability to record a profit of KES 914.6M in health business segment (22.8% of total profitability in FY19).

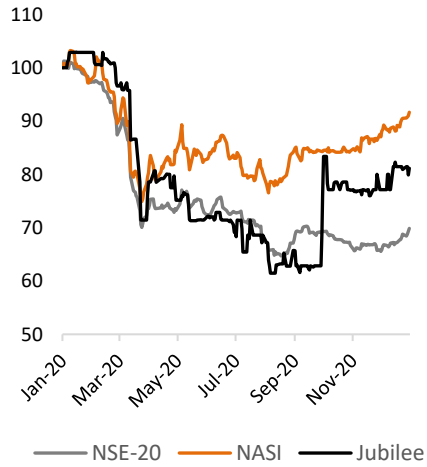
How does Jubilee stand to benefit?

- Through the incorporation of international best practices in its operations
- The partnership may see the adoption of new insurance products further widening JHL customer base
- Allianz has pre existing investments in Africa that JHL can tap as opportunities for new business. Allianz has funded operations for the ride hailing firm SafeBoda, owns 8% of Africa Re and has invested in BIMA, a leading digital micro insurer
- The deal allows Jubilee to focus on medical insurance where it has been enjoying a competitive advantage over its peers

JUB

Target Price:	**KES 394.56**
Upside:	**36.1%**
Current Price:	**KES 290.00**
52 Week Low:	**KES 210.00**
52 Week High:	**KES 462.00**
FY19 EPS:	**KES 49.07**
ROaE:	**14.96%**
ROaA:	**3.29%**
Dividend Yield:	**3.1%**

Jubilee vs Indices



Source: AIB-AXYS Research

Table 4: Financial Statements (Jubilee Holdings)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		26,907,645	28,328,848	26,609,321	29,119,931	31,225,347	33,820,450	36,554,831	39,649,024
	% change		5%	-6%	9%	7%	8%	8%	8%
Net Premiums		17,581,229	19,193,864	17,249,573	19,489,658	20,814,747	22,421,306	24,282,706	26,351,147
	% change		9%	-10%	13%	7%	8%	8%	9%
Investment Income		6,689,192	7,162,008	8,720,734	10,026,814	9,992,111	12,904,036	14,312,874	15,524,391
	% change		7%	22%	15%	0%	29%	11%	8%
Total Income		24,979,989	31,273,148	27,939,933	32,829,335	33,535,826	38,198,475	41,745,664	45,268,042
	% change		25%	-11%	17%	2%	14%	9%	8%
Net Benefits and Claims		14,241,658	19,653,896	15,929,910	19,726,931	22,402,308	24,643,671	27,088,363	29,877,350
	% change		38%	-19%	24%	14%	10%	10%	10%
Total Expenses		21,848,036	27,294,880	23,941,349	28,810,634	31,922,150	34,832,518	38,089,658	41,797,729
	% change		25%	-12%	20%	11%	9%	9%	10%
PBT		4,562,705	5,160,970	5,338,097	5,007,222	2,602,197	4,354,478	4,644,527	4,458,835
	% change		13%	3%	-6%	-48%	67%	7%	-4%
PAT		3,675,947	4,230,310	4,126,613	4,017,687	1,951,648	3,048,135	3,251,169	3,121,184
	% change		15%	-2%	-3%	-51%	56%	7%	-4%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Shareholders Funds		19,945,882	23,552,126	25,467,799	28,247,931	29,917,940	32,526,204	35,308,203	37,978,975
	% change		18%	8%	11%	6%	9%	9%	8%
Total Equity		21,421,669	25,230,650	27,354,778	30,521,630	32,191,639	34,799,903	37,581,902	40,252,674
	% change		18%	8%	12%	5%	8%	8%	7%
Total Assets		90,567,743	104,967,530	114,189,212	130,076,938	141,462,521	149,594,849	159,377,936	170,118,064
	% change		16%	9%	14%	9%	6%	7%	7%
Total Liabilities		69,146,074	79,736,880	86,834,434	99,555,308	114,247,682	129,987,141	147,929,318	168,552,962
	% change		15%	9%	15%	15%	14%	14%	14%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	1,430,705	4,015,068	2,009,964	(590,894)	(20,066)	899,555	(153,127)	(771,882)
Net Cash From Investing Activities	(3,364,218)	3,014,206	1,098,473	(1,016,832)	3,371,406	3,435,386	2,787,775	2,067,394
Net Cash From Financing Activities	(560,018)	(566,606)	(652,257)	(564,371)	(564,371)	(564,371)	(564,371)	(564,371)
Cash and Cash Equivalents at End Year	8,083,412	14,796,784	17,187,969	15,019,997	17,806,967	17,187,969	15,019,997	17,806,967

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	65.3%	67.8%	64.8%	66.9%	66.7%	66.3%	66.4%	66.5%
Cost to Income Ratio	30.4%	24.4%	28.7%	27.7%	28.4%	26.7%	26.4%	26.3%
Loss Ratio	81.0%	102.4%	92.3%	101.2%	107.6%	109.9%	111.6%	113.4%
Expense Ratio	31.7%	30.4%	32.9%	34.9%	33.3%	33.3%	33.0%	33.0%
Combined Ratio	112.7%	132.8%	125.2%	136.1%	140.9%	143.2%	144.5%	146.4%

Source: AIB-AXYS Research

Table 5: Valuation (Jubilee Holdings)

Variable		Assumed				
Rfr (10-yr T-bond)		12.280%				
Equity Risk Premium		4.5%				
Adjusted Beta		0.58				
Cost of Equity (Based on CAPM)		14.9%				
Cost of Debt		12.0%				
Equity/Debt Ratio		100.0%				
Terminal Growth		6.0%				
Tax Rate		30.0%				
WACC		14.9%				
1.0 Jubilee Holdings Summary	2018	2019	2020	2021	2022	2023
Beginning BVPS			389.77	413.82	450.80	490.19
EPS			26.93	42.06	44.86	43.07
DPS			2.89	5.07	5.47	5.21
Changes in Retained Earnings			24.04	36.99	39.39	37.85
Ending BVPS		**389.77**	**413.82**	**450.80**	**490.19**	**528.04**
2.0 Excess Equity Return						
EPS			23.84	37.23	39.71	38.12
After Tax Salvage Value						79.21
Equity Charge			3.55	5.54	5.91	17.47
Excess Equity Return			20.29	31.69	33.80	99.86
Time (t)			(0.05)	0.94	1.92	2.91
Discounting Factor			1.01	0.88	0.77	0.67
PV or Residual Income			**20.43**	**27.82**	**25.88**	**66.68**
Present BVPS (BV0)	**389.77**					
PV of Residual Income	**140.81**					
Estimated Fair Value	**530.58**					
3.0 Dividend Discount Model						
Dividend Per Share (DPS)		9.00	9.00	9.00	9.00	9.00
Add Terminal Value						**159.00**
DPS+Terminal Value			**9.00**	**9.00**	**9.00**	**168.00**
Time (t)			(0.05)	0.94	1.92	2.91
Discounting Factor			1.01	0.88	0.77	0.67
PV or Residual Income			**9.06**	**7.90**	**6.89**	**112.18**
Estimated Fair Value	**136.03**					
4.0 Relative Valuation						
4.1 P/E						
Median P/E	9.05					
1H20 EPS	43.88					
Estimated Fair Value	**397.11**					
4.2 P/B						
Median P/B	1.32					
BVPS	389.77					
Estimated Fair Value	**514.50**					
5.0 Valuation						
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**			
Excess Return on Equity	530.58	25.00%	132.65			
Dividend Discount Model	136.03	25.00%	34.01			
Relative Valuation (P/E)	397.11	25.00%	99.28			
Relative Valuation (P/B)	514.50	25.00%	128.62			
Target Price			**394.56**			
6.0 Recommendation						
Current Share Price	290.00					
Upside/(Downside)	36.1%					
Recommendation	**BUY**					

Source: AIB-AXYS Research

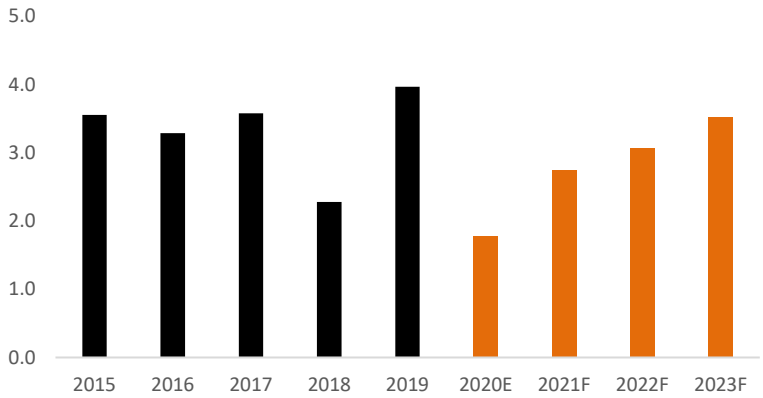
Kenya Re

We recommend a **BUY** of KES 3.28 on Kenya Re with a potential upside of 35.5% on the current price of KES 2.41. Our recommendation is premised on the currently low valuation multiples with the counter trading close to its 52 week low of KES 2.00.

➢ Profit decline announced

We project a 55.3% drop in net earnings in FY20 based on the projected over KES 1B (-5% y/y) decline in the top-line fueled by loss of business as increased claims and rebates forced insurers to renegotiate their insurance contract with their customers. The bottom line is expected to be pushed down further by a decline in income from investment properties (valued at KES 12.1B in FY19) due to suppressed rental yields and low occupancy rates in tandem with the economic slowdown in FY20. We anticipate a fall in investment income contribution to total income to 19% in FY20 (down from 21% in FY19). Recovery of the stock market in FY21 and an improvement in the economic wellness due to economic recovery is however expected to see an increase in premium income by insurers hence growth in earnings going forward.

Graph 5: Profitability (KES B)



Source: AIB-AXYS Research

➢ COVID-19 may delay regional expansion

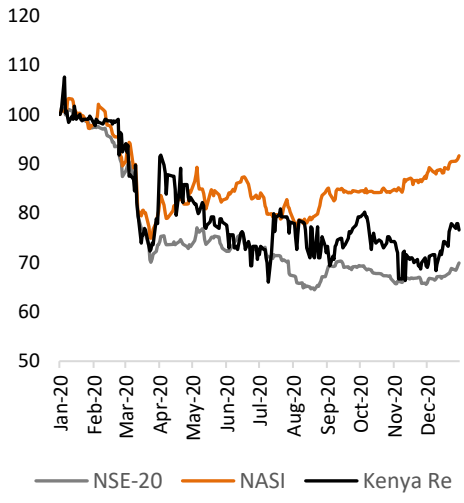
The groups' anticipated expansion into Egypt through the set up of a takaful unit may delay due to effects of the prevailing pandemic that have seen a slow down in business globaly. In FY19, Kenya Re issued an additional 2.1B shares moving up its capital base to KES 6.9B in order to comply with regulations in other markets. The new capital base meets the revised Egyptian insurance law enforced in 2019 raising minimum capital base for reinsurers from KES 391.9M to KES 6.5B.

➢ Continued regulatory support to buoy business

In FY20, Kenya Re had been pushing for an extension and increase on the law requiring local insurers to cede at least 20% of their re-insurance business to them. The compulsory reinsurance business accounts for 35% of the re insurers earnings ensuring steady flow of revenues and stability in the topline.

KNRE	
Target Price:	**KES 3.28**
Upside:	**35.9%**
Current Price:	**KES 2.41**
52 Week Low:	**KES 2.00**
52 Week High:	**KES 16.80**
FY19 EPS:	**KES 0.56**
ROaE:	**13.85%**
ROaA:	**8.37%**
Dividend Yield:	**4.1%**

Kenya Re vs Indices



Source: AIB-AXYS Research

Table 6: Financial Statements (Kenya Re)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		13,244,591	14,827,296	14,838,393	17,521,343	17,450,601	18,459,985	19,595,391	21,620,613
	% change		12%	0%	18%	0%	6%	6%	10%
Net Premiums		12,686,760	13,679,576	14,205,976	15,530,618	15,467,914	16,362,614	17,369,019	19,164,141
	% change		8%	4%	9%	0%	6%	6%	10%
Investment Income		3,079,298	3,165,314	3,386,177	3,714,696	3,016,243	3,272,523	3,473,804	3,832,828
	% change		3%	7%	10%	-19%	8%	6%	10%
Total Income		17,031,238	18,189,734	18,266,334	22,117,061	19,635,670	22,284,168	23,889,208	26,500,313
	% change		7%	0%	21%	-11%	13%	7%	11%
Net Benefits and Claims		6,680,518	7,598,542	8,830,250	11,061,940	11,017,278	11,654,543	12,371,371	13,649,977
	% change		14%	16%	25%	0%	6%	6%	10%
Total Expenses		12,813,152	13,631,183	15,164,484	17,940,867	17,273,471	18,356,470	19,502,105	21,472,738
	% change		6%	11%	18%	-4%	6%	6%	10%
PBT		4,218,086	4,558,551	3,101,850	4,176,194	2,362,199	3,927,699	4,387,104	5,027,574
	% change		8%	-32%	35%	-43%	66%	12%	15%
PAT		3,287,284	3,577,340	2,278,282	3,966,379	1,771,649	2,749,389	3,070,973	3,519,302
	% change		9%	-36%	74%	-55%	55%	12%	15%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Total Equity		24,133,297	27,205,084	28,373,033	31,950,725	33,442,394	35,911,804	38,702,797	41,942,119
	% change		13%	4%	13%	5%	7%	8%	8%
Total Assets		38,494,310	42,732,667	44,362,634	50,362,970	56,983,494	62,672,435	68,944,600	76,793,486
	% change		11%	4%	14%	13%	10%	10%	11%
Total Liabilities		14,361,013	15,527,583	15,989,601	18,412,245	19,239,233	20,243,566	21,373,292	23,388,382
	% change		8%	3%	15%	4%	5%	6%	9%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	378,513	4,558,551	1,499,342	2,193,879	519,822	(556,762)	(503,392)	12,920
Net Cash From Investing Activities	(2,759,691)	(2,447,475)	(74,881)	(2,468,569)	(2,355,351)	(252,869)	(292,998)	(446,007)
Net Cash From Financing Activities	(524,962)	(559,959)	(594,957)	(69,995)	(279,980)	(279,980)	(279,980)	(279,980)
Cash and Cash Equivalents at End Year	4,545,481	3,635,592	6,561,278	8,472,658	8,424,770	8,968,775	9,561,151	10,633,181

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	95.8%	92.3%	95.7%	88.6%	88.6%	88.6%	88.6%	88.6%
Cost to Income Ratio	13.8%	11.5%	13.6%	11.7%	10.5%	10.0%	10.7%	10.4%
Loss Ratio	52.7%	55.5%	62.2%	71.2%	71.2%	71.2%	71.2%	71.2%
Expense Ratio	14.4%	12.5%	14.5%	13.5%	12.2%	11.7%	12.5%	12.2%
Combined Ratio	67.1%	68.0%	76.7%	84.7%	83.4%	82.9%	83.7%	83.4%

Source: AIB-AXYS Research

Table 7:Valuation (Kenya Re)

Variable		Assumed					
Rfr (10-yr T-bond)		12.280%					
Equity Risk Premium		4.5%					
Beta		0.57					
Cost of Equity (Based on CAPM)		14.8%					
Cost of Debt		12.0%					
Equity/Debt Ratio		100.0%					
Terminal Growth		6.0%					
Tax Rate		25.0%					
WACC		14.8%					
1.0 Group Summary	2018	2019	2020	2021	2022	2023	
Beginning BVPS			11.41	11.94	12.83	13.82	
EPS			0.63	0.98	1.10	1.26	
DPS			0.10	0.10	0.10	0.15	
Changes in Retained Earnings			0.53	0.88	1.00	1.11	
Ending BVPS		**11.41**	**11.94**	**12.83**	**13.82**	**14.93**	
2.0 Dividend Discount Model							
Dividend Per Share (DPS)			0.10	0.10	0.10	0.15	
Add Terminal Value						**2.65**	
DPS+Terminal Value			**0.10**	**0.10**	**0.10**	**2.80**	
Time (t)			(0.05)	0.94	1.92	2.91	
Discounting Factor			1.01	0.88	0.77	0.67	
PV or Residual Income		**-**	**0.10**	**0.09**	**0.08**	**1.87**	
Estimated Fair Value	**2.14**						
3.0 Relative Valuation							
4.1 P/E							
Median P/E	3.60						
FY 2019 EPS	0.56						
Estimated Fair Value	**2.02**						
4.2 P/B							
Median P/B	0.48						
BVPS 2019	11.82						
Estimated Fair Value	**5.67**						
4.0 Valuation							
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**				
Dividend Discount Model	2.14	33.33%	0.71				
Relative Valuation (P/E)	2.02	33.33%	0.67				
Relative Valuation (P/B)	5.67	33.33%	1.89				
Target Price			**3.28**				
5.0 Recommendation							
Current Share Price	2.41						
Upside/(Downside)	35.9%						
Dividend Yield	4.1%						
Total Return	40.1%						
Recommendation	**BUY**						

Source: AIB-AXYS Research

CIC Insurance Ltd

We recommend a BUY on CIC Insurance with a target price of KES 3.83 offering a potential upside of 77.1% on the current price of KES 2.16. Our recommendation is premised on the current low valuation multiples with the counter trading close to its 52 week low of KES 1.95 and at a p/b and p/e multiples of 0.72x and 18.00x respectively.

➢ Land sale to boost earnings

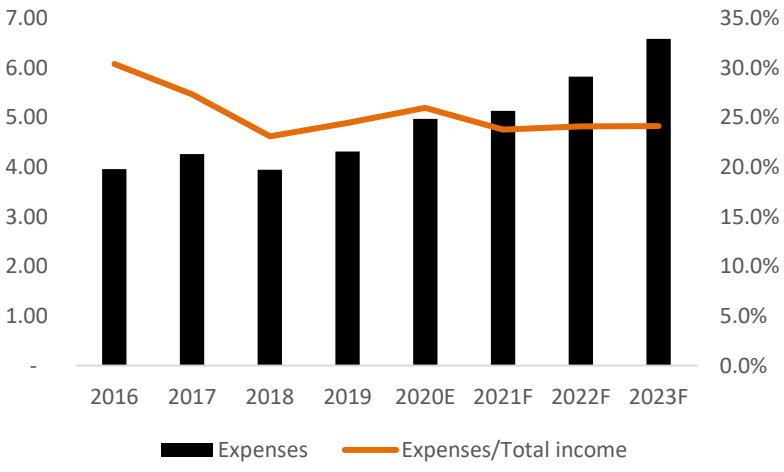
The group recorded a KES 335.5M loss in 1H20 on the back of a 25.9% y/y decline in investment income due to the fall in share prices at the bourse and a 7.6% y/y rise in claims. We forecast a loss of KES 138.8M in FY20 premised on a decline in investment income. We anticipate an improvement in FY21 earnings owing to significant gains from the sale of its 712 acres in freehold land in Kiambu and Kajiado. In FY19, the land in Kiambu was valued at KES 3.8B while that in Kajiado was valued at KES 1.7B and are expected to fetch at least KES 10B according to market valuations. The sale is also expected to see a significant reduction in finance costs going forward, with the proceeds expected to be partly used to offset current debt. Earnings growth will also be supported by improvement in the investment income due to a recovery in the stock markets. While earnings have remained erratic over the years, we anticipate stable growth in the short to medium term owing to declining costs with retirement of the KES 5B corporate bond.

➢ Efficiency to buoy bottom-line

We project a reduction of operating and finance costs buoying net earnings going forward. Digitization of processes is anticipated to boost efficiency weighing in on costs of operations. In 1H20, the insurer saw operating costs decline 10.7% to KES 2.8B while finance costs declined 10.1% to KES 302M.

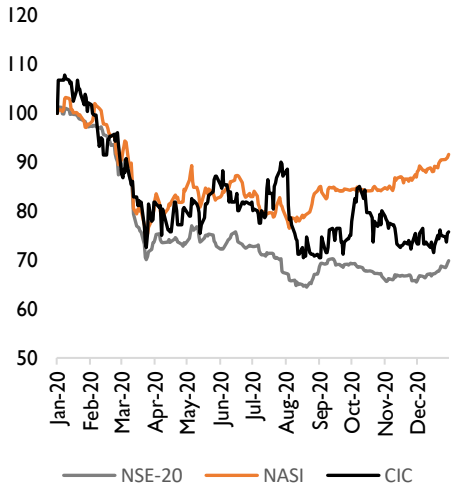
CIC	
Target Price:	KES 3.83
Upside:	77.1%
Current Price:	KES 2.16
52 Week Low:	KES 1.95
52 Week High:	KES 4.85
FY19 EPS:	KES 0.12
ROaE:	4.12%
ROaA:	0.94%
Dividend Yield:	N/A

Graph 6: Costs as a Percentage of Total Income



Source: AIB-AXYS Research

CIC vs Indices



Source: AIB-AXYS Research

AIB AXYS

Table 8: Financial Statements (CIC)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		12,366,319	14,886,887	16,627,384	17,695,928	19,696,761	22,062,524	24,742,438	27,976,662
	% change		20%	12%	6%	11%	12%	12%	13%
Net Premiums		10,031,301	12,094,997	14,261,486	14,396,887	16,086,991	18,019,187	20,207,960	22,849,457
	% change		21%	18%	1%	12%	12%	12%	13%
Investment Income		1,301,671	1,543,581	1,517,464	1,486,740	879,155	1,386,384	1,554,787	1,758,022
	% change		19%	-2%	-2%	-41%	58%	12%	13%
Total Income		13,017,360	15,600,262	17,078,711	17,639,515	19,142,478	21,584,509	24,176,897	27,299,978
	% change		20%	9%	3%	9%	13%	12%	13%
Net Benefits and Claims		6,469,473	7,856,468	9,456,369	10,040,469	11,219,157	12,566,681	14,093,143	15,935,338
	% change		21%	20%	6%	12%	12%	12%	13%
Total Expenses		12,261,684	14,431,152	15,792,197	16,564,086	18,666,257	20,474,188	23,034,589	26,049,382
	% change		18%	9%	5%	13%	10%	13%	13%
PBT		114,388	519,156	645,307	385,589	(185,100)	448,998	480,986	589,274
	% change		354%	24%	-40%	-148%		7%	23%
PAT		188,185	478,473	480,943	321,591	(138,825)	314,299	336,690	412,492
	% change		154%	1%	-33%	-143%		7%	23%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Shareholders Funds		7,340,503	7,562,540	7,752,010	7,846,547	7,707,722	7,603,534	7,495,583	7,437,278
	% change		3%	3%	1%	-2%	-1%	-1%	-1%
Total Equity		7,479,463	7,637,108	7,738,066	7,852,933	7,714,108	7,609,920	7,501,969	7,443,664
	% change		2%	1%	1%	-2%	-1%	-1%	-1%
Total Assets		26,826,686	30,505,376	33,046,419	35,303,070	33,449,728	35,392,318	37,820,342	43,003,724
	% change		14%	8%	7%	-5%	6%	7%	14%
Total Liabilities		19,347,223	22,868,268	25,308,353	27,450,137	27,219,892	28,830,012	30,862,609	33,296,207
	% change		18%	11%	8%	-1%	6%	7%	8%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	455,474	1,764,219	2,027,573	3,647,578	635,470	2,367,156	2,782,293	3,085,835
Net Cash From Investing Activities	537,646	(2,257,631)	397,974	1,268,607	(2,667,620)	(1,738,373)	(2,172,611)	(148,453)
Net Cash From Financing Activities	(925,148)	(909,073)	(998,472)	(408,875)	(908,875)	(1,327,362)	(1,353,517)	(1,379,672)
Cash and Cash Equivalents at End Year	4,379,452	2,877,373	4,305,082	8,812,392	5,871,366	5,172,788	4,428,953	5,986,662

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	84.9%	84.4%	84.2%	83.2%	83.2%	83.2%	83.2%	83.2%
Cost to Income Ratio	42.2%	40.9%	37.1%	37.1%	39.1%	36.8%	37.1%	37.2%
Loss Ratio	64.5%	65.0%	66.3%	69.7%	69.7%	69.7%	69.7%	69.7%
Expense Ratio	50.4%	46.5%	40.4%	40.0%	40.9%	38.5%	38.8%	38.8%
Combined Ratio	114.9%	111.5%	106.7%	109.7%	110.7%	108.2%	108.6%	108.6%

Source: AIB-AXYS Research

Table 9 :Valuation (CIC)

Variable		Assumed					
Rfr (10-yr T-bond)		12.280%					
Equity Risk Premium		4.5%					
Beta		1.04					
Cost of Equity (Based on CAPM)		17.0%					
Cost of Debt		12.0%					
Equity/Debt Ratio		44.5%					
Terminal Growth		6.0%					
Tax Rate		25.0%					
WACC		12.5%					
1.0 CIC Group Summary	2018	2019	2020	2021	2022	2023	
Beginning BVPS		-	3.00	2.95	2.94	2.94	
EPS			(0.05)	0.12	0.13	0.16	
DPS			-	0.13	0.13	0.13	
Changes in Retained Earnings			(0.05)	(0.01)	(0.00)	0.03	
Ending BVPS		**3.00**	**2.95**	**2.94**	**2.94**	**2.97**	
2.0 Excess Equity Return							
EPS		-	(0.05)	0.12	0.13	0.16	
After Tax Salvage Value						0.44	
Equity Charge		-	(0.01)	0.02	0.02	0.10	
Excess Equity Return		-	(0.04)	0.10	0.11	0.50	
Time (t)			(0.05)	0.93	1.92	2.91	
Discounting Factor			1.01	0.90	0.80	0.71	
PV or Residual Income		**-**	**(0.04)**	**0.09**	**0.09**	**0.35**	
Present BVPS (BV0)	**3.00**						
PV of Residual Income	**0.49**						
Estimated Fair Value	**3.49**						
3.0 Relative Valuation							
3.1 P/E							
Median P/E	27.86						
FY 2019 EPS	0.12						
Estimated Fair Value	**3.43**						
3.2 P/B							
Median P/B	1.52						
BVPS 2019	3.00						
Estimated Fair Value	**4.56**						
4.0 Valuation							
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**				
Excess Return on Equity	3.49	33.33%	1.16				
Relative Valuation (P/E)	3.43	33.33%	1.14				
Relative Valuation (P/B)	4.56	33.33%	1.52				
Target Price			**3.83**				
5.0 Recommendation							
Current Share Price	2.16						
Upside/(Downside)	77.1%						
Recommendation	**BUY**						

Source: AIB-AXYS Research

Liberty Holdings

We recommend a **BUY** on Liberty Holdings with a target price of KES 14.27 offering a potential upside of 92.7% on the current price of KES 7.40. The counter is currently trading at a 64.5% discount to book value of KES 11.48 (FY19) hence the high upside.

➢ Improving Combined ratio

We forecast an improvement in the combined ratio to 158.6% in FY20E boosted by a 610bps y/y decline in the loss ratio to 89.3%. The lower claims ratio are as a result of anticipated decline in medical claims in FY20 as most people shied away from hospitals on COVID-19 jitters.

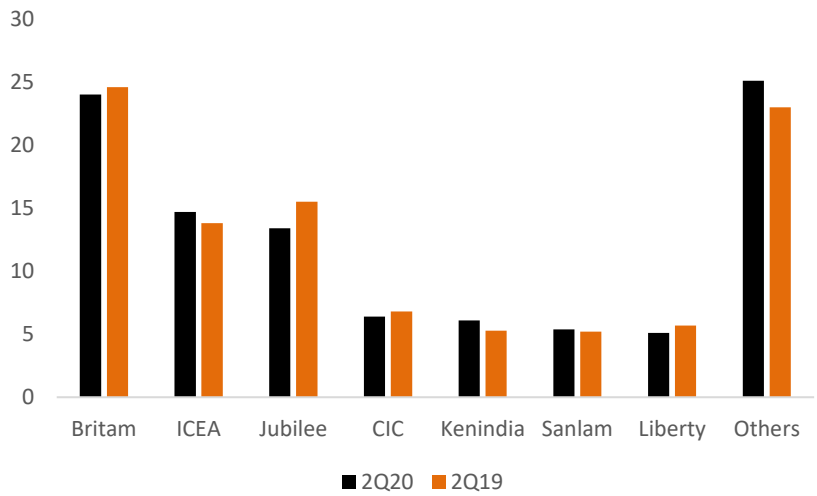
➢ Profit drop on declining fair value adjustments

We anticipate a 27.8% y/y drop in net earnings in FY20E driven by falling fair value adjustments mainly driven by the bear run at the bourse causing the persistent drop in equity prices. In 1H20, the insurer saw fair value adjustment to assets at fair value stand at KES 154.7M dropping 90.3% y/y from KES 1.6B in 1H19.

➢ Drop in market share

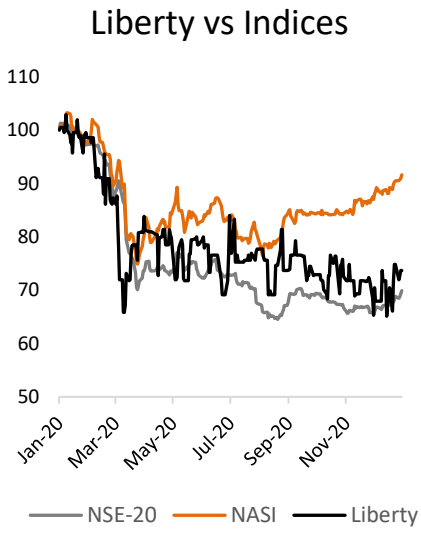
Data from the IRA 2Q20 insurance sector report shows that Long Term Gross Premium Income improved 8.2% y/y to KES 47.9B with Pensions and Life Assurance classes remaining the biggest contributors to the life GPI accounting for 38.7% and 28.9% respectively. In comparison with its peers, Liberty lost 60bps y/y to have a market share of 5.1% in 2Q20.

Graph 7: Insurance Market share by gross premium income (%)



Source: IRA, AIB-AXYS Research

LBTY	
Target Price:	KES 14.27
Upside:	92.7%
Current Price:	KES 7.40
52 Week Low:	KES 6.80
52 Week High:	KES 13.00
FY19 EPS:	KES 1.31
ROaE:	9.80%
ROaA:	1.98%
Dividend Yield:	N/A



Source: AIB-AXYS Research

Table 10: Financial Statements (Liberty)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		9,623,170	10,493,560	10,217,603	10,771,164	10,391,322	10,998,661	11,504,995	11,870,944
	% change		9%	-3%	5%	-4%	6%	5%	3%
Net Premiums		5,573,336	6,330,749	6,309,226	6,722,899	6,485,818	6,864,893	7,180,925	7,409,335
	% change		14%	0%	7%	-4%	6%	5%	3%
Investment Income		2,552,561	3,123,192	2,143,171	4,363,094	3,636,963	4,152,389	4,256,848	4,392,249
	% change		22%	-31%	104%	-17%	14%	3%	3%
Total Income		9,024,873	10,423,492	9,312,050	11,085,993	10,122,781	11,017,282	11,437,773	11,801,584
	% change		15%	-11%	19%	-9%	9%	4%	3%
Net Benefits and Claims		3,952,115	4,982,709	4,193,501	5,461,876	4,874,853	5,368,504	5,506,478	5,737,949
	% change		26%	-16%	30%	-11%	10%	3%	4%
Total Expenses		8,082,988	9,319,222	8,387,094	10,110,180	9,358,768	10,115,265	10,472,371	10,862,219
	% change		15%	-10%	21%	-7%	8%	4%	4%
PBT		941,885	1,104,270	924,956	1,199,372	764,013	902,017	965,402	939,365
	% change		17%	-16%	30%	-36%	18%	7%	-3%
PAT		627,834	674,573	549,526	740,393	534,809	631,412	675,781	657,556
	% change		7%	-19%	35%	-28%	18%	7%	-3%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Shareholders Funds		6,421,716	7,202,015	7,338,093	7,768,268	8,303,077	8,934,489	9,610,270	9,999,972
	% change		12%	2%	6%	7%	8%	8%	4%
Total Equity		6,753,641	7,493,565	7,619,139	8,032,892	8,567,701	9,199,113	9,874,894	10,264,596
	% change		11%	2%	5%	7%	7%	7%	4%
Total Assets		34,920,271	37,338,972	36,579,039	38,221,854	38,506,674	39,308,135	39,703,346	40,215,064
	% change		7%	-2%	4%	1%	2%	1%	1%
Total Liabilities		28,166,630	29,852,007	28,959,900	30,188,962	27,749,803	30,210,493	32,160,070	32,511,253
	% change		6%	-3%	4%	-8%	9%	6%	1%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	1,015,739	1,298,502	1,757,028	1,751,685	1,981,460	533,717	388,166	(1,405,073)
Net Cash From Investing Activities	(2,788,280)	(2,565,758)	2,665,383	(3,541,427)	(1,653,884)	1,756,923	1,841,982	1,902,093
Net Cash From Financing Activities	-	-	(267,854)	(267,854)	-	-	-	(267,854)
Cash and Cash Equivalents at End Year	4,936,637	3,680,657	7,835,214	5,777,618	6,105,194	8,395,834	10,625,983	10,855,149

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	57.9%	60.3%	61.7%	62.4%	62.4%	62.4%	62.4%	62.4%
Cost to Income Ratio	45.8%	41.6%	45.0%	42.0%	44.4%	43.2%	43.5%	43.5%
Loss Ratio	93.8%	96.2%	84.1%	95.4%	89.3%	92.3%	90.8%	91.6%
Expense Ratio	58.5%	53.2%	53.1%	69.3%	69.3%	69.3%	69.3%	69.3%
Combined Ratio	152.3%	149.5%	137.2%	164.7%	158.6%	161.7%	160.1%	160.9%

Source: AIB-AXYS Research

Table 11:Valuation (Liberty)

Variable		Assumed				
Rfr (10-yr T-bond)		12.280%				
Equity Risk Premium		4.5%				
Beta		1.00				
Cost of Equity (Based on CAPM)		20.3%				
Cost of Debt		12.0%				
Equity/Debt Ratio		100.0%				
Terminal Growth		4.0%				
Tax Rate		30.0%				
WACC		20.3%				
1.0 Liberty Holdings Summary	2018	2019	2020E	2021F	2022F	2023F
Beginning BVPS			11.48	12.47	13.65	14.91
EPS			1.00	1.18	1.26	1.23
DPS			-	-	-	0.50
Changes in Retained Earnings			1.00	1.18	1.26	0.73
Ending BVPS		**11.48**	**12.47**	**13.65**	**14.91**	**15.64**
2.0 Excess Equity Return						
EPS		-	1.00	1.18	1.26	1.23
After Tax Salvage Value						2.35
Equity Charge		-	0.20	0.24	0.26	0.73
Excess Equity Return		-	0.80	0.94	1.01	2.85
Time (t)			(0.05)	0.93	1.92	2.91
Discounting Factor			1.01	0.84	0.70	0.58
PV or Residual Income		**-**	**0.80**	**0.79**	**0.70**	**1.66**
Present BVPS (BV0)	**11.48**					
PV of Residual Income	**3.16**					
Estimated Fair Value	**14.64**					
3.0 Relative Valuation						
P/E						
Median P/E	10.00					
FY 2019 EPS	1.31					
Estimated Fair Value	**13.10**					
P/B						
Median P/B	1.09					
BVPS 2019	11.48					
Estimated Fair Value	**12.51**					
4.0 Valuation						
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**			
Excess Return on Equity	14.64	33.33%	4.88			
Relative Valuation (P/E)	13.10	33.33%	4.37			
Relative Valuation (P/B)	12.51	33.33%	4.17			
Target Price			**13.41**			
5.0 Recommendation						
Current Share Price	7.40					
Upside/(Downside)	81.3%					
Recommendation	**BUY**					

Source: AIB-AXYS Research

Sanlam Kenya

We recommend a **HOLD** on Sanlam Kenya with a target price of KES 13.09 offering a potential upside of 9.1% on the current price of KES 12.00. Our recommendation is guided by the insurers deteriorating earnings with an expectation of a loss in FY20E due to effects of the prevailing pandemic.

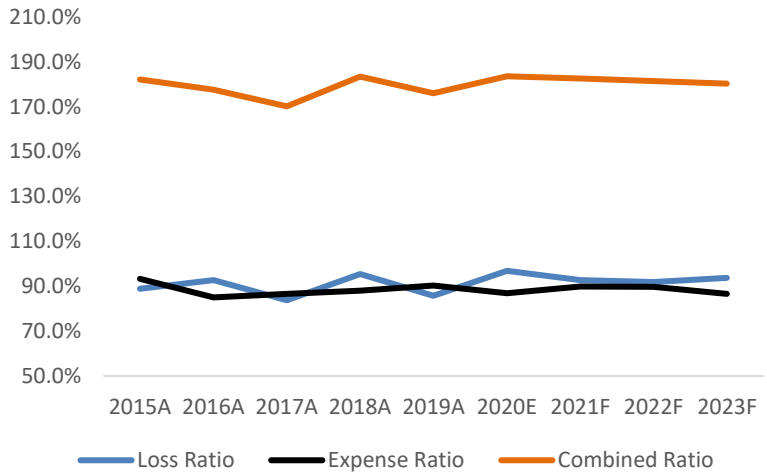
➢ A fall in earnings

We forecast the negation of earnings in FY20E to fall 68.7% y/y to KES 37.0M driven by slowed growth in premiums earned as the business continues to weather effects of a slowdown in business due to the prevailing pandemic and a business loss due to a highly competitive environment.

➢ Combined ratio a concern

We anticipate the worsening of the combined ratio in FY21F to 178.6% driven by a deteriorating loss ratio to 88.8% despite an improving expense ratio. We expect higher claims to be driven by a rise in claims in the life insurance business segment especially with the increase in policy surrenders.

Graph 8: Sanlam Ratios



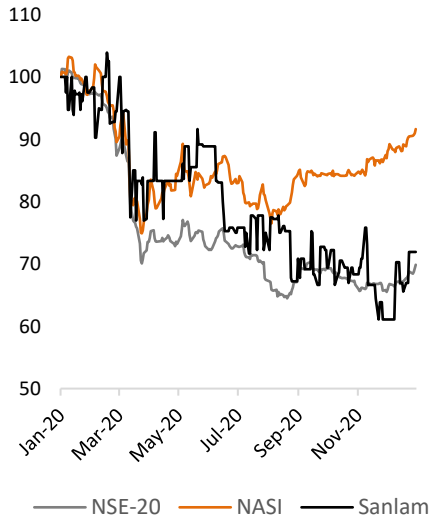
Source: AIB-AXYS Research

➢ Capital ratios to remain worrisome

The insurer's capital base is projected to deteriorate further owing to the suppressed earnings. In November 2020, the Global Credit Ratings (GCR) downgraded Sanlam Life's national scale financial strength rating to A(KE), from AA-(KE) while maintaining a "Negative" outlook on the insurer owing to sustained weakness in risk adjusted capitalization. The group's capital has been on a downward trend in the past few years due to sustained earnings decline.

SLAM	
Target Price:	KES 13.09
Upside:	9.10%
Current Price:	KES 12.00
52 Week Low:	KES 11.00
52 Week High:	KES 26.00
FY19 EPS:	KES 0.79
ROaE:	6.89%
ROaA:	0.39%
Dividend Yield:	N/A

Sanlam vs Indices



Source: AIB-AXYS Research

Table 12: Financial Statements (Sanlam)

Income Statement (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Gross Premiums		5,224,546	6,369,847	6,345,825	6,991,588	7,952,783	9,305,990	10,886,405	13,124,699
	% change		22%	0%	10%	14%	17%	17%	21%
Net Premiums		4,832,205	5,416,215	5,371,808	5,646,546	6,639,037	7,720,675	8,970,661	10,886,837
	% change		12%	-1%	5%	18%	16%	16%	21%
Investment Income		2,418,532	2,285,310	2,183,767	2,350,289	2,673,404	3,153,011	3,669,206	4,427,484
	% change		-6%	-4%	8%	14%	18%	16%	21%
Total Income		7,154,074	7,374,761	5,913,423	8,899,079	9,522,030	11,625,249	13,254,409	16,209,891
	% change		3%	-20%	50%	7%	22%	14%	22%
Net Benefits and Claims		4,478,467	4,534,482	5,124,182	4,836,423	5,661,321	6,858,838	7,767,996	9,460,509
	% change		1%	13%	-6%	17%	21%	13%	22%
Total Expenses		1,669,594	1,843,601	2,000,047	2,040,589	2,306,307	2,782,611	3,196,526	3,861,454
	% change		10%	8%	2%	13%	21%	15%	21%
PBT		317,053	246,958	(2,129,186)	550,086	52,922	252,785	268,444	579,867
	% change		-22%	-962%	-126%	-90%	378%	6%	116%
PAT		70,623	53,045	(1,979,426)	114,399	37,045	176,950	187,910	405,907
	% change		-25%	-3832%	-106%	-68%	378%	6%	116%

Balance Sheet (KES 000)		2016	2017	2018	2019	2020E	2021F	2022F	2023F
Shareholders Funds		3,770,208	3,804,876	1,328,100	1,441,085	1,478,130	1,655,080	1,842,990	2,248,897
	% change		1%	-65%	9%	3%	12%	11%	22%
Total Equity		3,932,244	4,051,950	1,587,038	1,735,022	1,772,067	1,949,017	2,136,927	2,542,834
	% change		3%	-61%	9%	2%	10%	10%	19%
Total Assets		28,442,590	29,811,484	29,101,630	29,032,606	29,192,974	29,653,382	30,395,990	31,800,771
	% change		5%	-2%	0%	1%	2%	3%	5%
Total Liabilities		24,510,346	25,759,534	27,514,592	27,297,584	27,960,592	28,292,365	28,603,162	29,489,080
	% change		5%	7%	-1%	2%	1%	1%	3%

Cashflow (KES 000)	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Net Cash From Operating Activities	(2,337,522)	(1,903,215)	(181,028)	398,643	338,165	529,966	817,258	1,483,647
Net Cash From Investing Activities	882,465	850,669	1,024,515	635,419	(281,256)	(343,797)	(414,624)	(509,440)
Net Cash From Financing Activities	36,325	1,096,321	2,435,771	(145,174)	274,146	(225,854)	(225,854)	(225,852)
Cash and Cash Equivalents at End Year	2,497,436	2,541,211	5,820,469	6,709,358	7,040,412	7,000,728	7,177,508	7,925,864

Perfomance Ratios	2016	2017	2018	2019	2020E	2021F	2022F	2023F
Retention Ratio	92.5%	85.0%	84.7%	80.8%	83.5%	83.0%	82.4%	82.9%
Cost to Income Ratio	48.8%	47.8%	50.8%	54.1%	49.8%	51.5%	51.8%	51.0%
Loss Ratio	92.7%	83.7%	95.4%	85.7%	85.3%	88.8%	86.6%	86.9%
Expense Ratio	84.9%	86.5%	88.0%	90.2%	86.8%	89.8%	89.7%	86.5%
Combined Ratio	177.6%	170.2%	183.4%	175.9%	172.0%	178.7%	176.3%	173.4%

Source: AIB-AXYS Research

Table 13: Valuation (Sanlam)

Variable		Assumed				
Rfr (14-yr T-bond)		12.734%				
Equity Risk Premium		4.5%				
Adjusted Beta		1.10				
Cost of Equity (Based on CAPM)		20.9%				
Cost of Debt		12.0%				
Equity/Debt Ratio		80.0%				
Terminal Growth		6.0%				
Tax Rate		30.0%				
WACC		18.4%				
1.0 Sanlam Kenya Summary	2018	2019	2020E	2021F	2022F	2023F
Beginning BVPS			12.05	7.55	7.82	7.11
EPS			(4.50)	0.27	(0.71)	0.19
DPS			-	-	-	
Changes in Retained Earnings			(4.50)	0.27	(0.71)	0.19
Ending BVPS		**12.05**	**7.55**	**7.82**	**7.11**	**7.31**
2.0 Excess Equity Return						
EPS		-	(4.50)	0.27	(0.71)	0.19
After Tax Salvage Value					1.07	1.10
Equity Charge		-	(0.94)	0.06	0.07	0.27
Excess Equity Return		-	(3.56)	0.22	0.28	1.02
Time (t)			(0.02)	0.97	1.95	2.94
Discounting Factor			1.00	0.85	0.72	0.61
PV or Residual Income		**-**	**(3.57)**	**0.18**	**0.20**	**0.62**
Present BVPS (BV0)	**12.05**					
PV of Residual Income	**(2.56)**					
Estimated Fair Value	**9.49**					
3.0 Relative Valuation						
P/E						
Median P/E	39.51					
FY 2019 EPS	0.79					
Estimated Fair Value	**9.17**					
P/B						
Median P/B	1.71					
BVPS 2019	12.05					
Estimated Fair Value	**20.60**					
4.0 Valuation						
Methodology	**Fair Value Estimates**	**Weighting**	**Weighted Average**			
Excess Return on Equity	9.49	33.33%	3.16			
Relative Valuation (P/E)	9.17	33.33%	3.06			
Relative Valuation (P/B)	20.60	33.33%	6.87			
Target Price			**13.09**			
5.0 Recommendation						
Current Share Price (KES)	12.00					
Upside/(Downside)	9.1%					
Recommendation	**HOLD**					

Source: AIB-AXYS Research



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